

Principles on Loss-absorbing and Recapitalisation Capacity of G-SIBs in Resolution

<https://www.fsb.org/uploads/TLAC-Principles-and-Term-Sheet-for-publication-final.pdf>

At the St. Petersburg Summit in 2013, the G20 Leaders called on the Financial Stability Board (FSB), “in consultation with standard setting bodies, to assess and develop proposals by end-2014 on the adequacy of global systemically important financial institutions’ lossabsorbing capacity when they fail.”

However, for home and host authorities and markets to have confidence that systemically important banks are truly no longer “too-big-to-fail” and are resolvable without exposing public funds to loss, they must have confidence that these firms have sufficient capacity to absorb losses, both before and during resolution. The FSB has developed, in consultation with the BCBS:

- a set of principles that there must be sufficient loss-absorbing and recapitalisation capacity available in resolution to implement an orderly resolution that minimises impacts on financial stability, ensures the continuity of critical functions, and avoids exposing public funds to loss; and
- a term sheet that implements these principles in the form of an internationally agreed standard on the adequacy of total loss absorbing capacity for global systemically important banks (G-SIBs). The term sheet should be read in conjunction with the principles.

The Principles and Term Sheet form a new international standard for G-SIBs. The FSB will monitor implementation of the standard.

Total Loss-absorbing Capacity (TLAC) term sheet

1. OBJECTIVE

The objective of this standard is to ensure that G-SIBs have the loss-absorbing and recapitalisation capacity necessary to help ensure that, in and immediately following a resolution, critical functions can be continued without taxpayers’ funds (public funds) or financial stability being put at risk.

3. MINIMUM EXTERNAL TLAC REQUIREMENT

G-SIBs will be required to meet a new requirement for Minimum External Total Loss-absorbing Capacity (“Minimum TLAC”) alongside minimum regulatory capital requirements set out in the Basel III framework (“minimum regulatory capital requirements”). The Minimum TLAC requirement will be set in accordance with this term sheet.

4. CALIBRATION OF MINIMUM TLAC

Minimum TLAC must be at least 16% of the resolution group’s RWAs (“TLAC RWA Minimum”) as from 1 January 2019 and at least 18% as from 1 January 2022. This requirement does not include any applicable regulatory capital (Basel III) buffers, which must be met in addition to the TLAC RWA Minimum.

Minimum TLAC must be at least 6% of the Basel III leverage ratio denominator (“TLAC LRE Minimum”) as from 1 January 2019. As from 1 January 2022, the TLAC LRE Minimum must be at least 6.75% of the Basel III

leverage ratio denominator. This requirement does not limit authorities' powers to set a requirement above the common minimum or put in place buffers in addition to the TLAC LRE Minimum.

6. RELATIONSHIP WITH CAPITAL REQUIREMENTS

Minimum TLAC is an additional requirement to minimum regulatory capital requirements. Capital that counts towards satisfying minimum regulatory capital requirements may also count towards satisfying the Minimum TLAC requirement subject to the following conditions:

- a. Common Equity Tier 1 (CET1) regulatory capital used to meet Minimum TLAC must not be used to also meet regulatory capital buffers;